

CAMS Exam: The Missed Hard Questions

High-Difficulty Concepts from Recent Test-Taker Feedback

Based on Post-Exam Reports & Reddit Feedback

Focus: FATF Immediate Outcomes (IOs), Insurance ML, Patriot Act Sections, DeFi Control, Nested Correspondent, and the "Most Correct" Answer Trap

FATF Immediate Outcomes (IOs) - MISSING in your slides

What are Immediate Outcomes?

FATF measures effectiveness through 11 IOs, NOT just technical compliance. The exam tests scenario-to-IO matching.

IO Number & Name	What It Measures / Exam Scenario Example
IO.1: ML/TF Risks	Country understands its risks (e.g., completed NRA)
IO.2: International Co-operation	Exchanging info with foreign FIUs; extradition success
IO.3: Supervision	FIs supervised and penalized for non-compliance
IO.4: Preventive Measures	FIs apply CDD, SARs, record-keeping effectively
IO.5: Legal Persons & Arrangements	BO information available and accurate (lack of registry = failure here)
IO.6: Financial Intelligence	FIU produces and disseminates actionable intelligence
IO.7: ML Investigation	ML prosecuted; proceeds confiscated

[SCENARIO] Country A has excellent ML/TF laws on paper. However, the FIU never shares reports with prosecutors. LE cannot obtain bank records without a 6-month court order. No foreign MLAT requests have ever been answered. **Q: Which FATF**

Immediate Outcome is MOST deficient?

- A) IO.1 (Risk Understanding)
- B) IO.4 (Preventive Measures)
- C) IO.2 (International Cooperation)
- D) IO.6 (Financial Intelligence)

[TRAP] Distractor: IO.4 seems correct because "preventive measures" includes SARs. But SARs exist; they just aren't used.

[CORRECT] Correct Answer: D (IO.6 - Financial Intelligence) because intelligence is not disseminated to LE. Also C (IO.2) is partially correct, but IO.6 is the primary failure. **[FOCUS] Exam** often asks for the **MOST** deficient IO in a scenario. Know all 11 by name and core function.

CDD Triggers (FATF Rec. 12)

CDD applies to life insurance policies when:

- 1 Annual premium exceeds USD/EUR 10,000
- 2 Single premium exceeds USD/EUR 10,000
- 3 ANY suspicious transaction regardless of amount

[!] BENEFICIARY CDD: Must identify beneficial owner of a life insurance policy ONCE THE BENEFICIARY IS DESIGNATED (not necessarily at purchase).

Money Laundering via Life Insurance

Method 1 - Policy Loan Layering:

- 1 Purchase policy with illicit funds (single premium)
- 2 Take a policy loan for 80-90% of cash value
- 3 Loan check is "legitimate" - layered funds

Method 2 - Early Surrender:

- 1 Purchase policy with dirty money
- 2 Surrender policy after short period (e.g., 6 months)
- 3 Receive surrender check minus penalty (the "laundering fee")

[SCENARIO] A foreign PEP purchases a \$2.5 million single-premium life insurance policy. Three months later, he takes a \$2.1 million policy loan. The loan proceeds are wired to a real estate closing attorney for a luxury condo purchase. The PEP surrenders the policy one year later, receiving the remaining cash value. **Q: Which stage of money laundering is the policy loan?**

- A) Placement
- B) Layering
- C) Integration
- D) Structuring

[TRAP] The loan is from a legitimate insurance company, so it appears clean. But the underlying premium was illicit. **[CORRECT]** Correct Answer: B (Layering). The loan converts the illicit premium into a "legitimate" check from an insurance company, obscuring the origin. The surrender is integration. **[!]** The insurance company must apply EDD to the foreign PEP policyholder AND identify the beneficiary (even if an entity).

Test-takers report multiple questions on specific Patriot Act sections.

Memorize these:

Section	Key Provision
Section 311	Designate jurisdictions, institutions, or transactions as "primary money laundering concern" → special measures
Section 312	Enhanced Due Diligence for correspondent accounts with foreign banks (especially those with shell banks or PEPs)
Section 313	PROHIBITS U.S. banks from maintaining correspondent accounts for foreign shell banks (no physical presence, not affiliated with regulated bank)
Section 314(a)	LE can request information from FIs; FIs must search records and respond
Section 314(b) — ALLOWS information sharing be-	

[SCENARIO] Bank A suspects a customer is using multiple accounts across Bank B, Bank C, and Bank D to layer funds. Bank A wants to ask the other banks if they have seen similar activity. Q:

Under the USA Patriot Act, what allows Bank A to share information with Bank B?

- A) Section 311
- B) Section 313
- C) Section 314(a)
- D) Section 314(b)

[TRAP] Section 314(a) is for law enforcement requests, not voluntary FI sharing. **[CORRECT]** Correct Answer: D (Section 314(b)). This section provides a safe harbor for FIs to share information regarding suspected ML/TF. Both parties must file SARs. **[FOCUS]** 314(a) = LE to FI. 314(b) = FI to FI.

The "Control or Influence" Test

A person or entity that maintains **control or sufficient influence** over a DeFi protocol may be considered a VASP subject to AML obligations. **Indicators of Control:**

- Owns ≥50% of governance tokens (can unilaterally pass proposals)
- Ability to upgrade smart contract code
- Controls admin keys or multi-signature keys
- Receives fees or revenue from protocol operations
- Markets the protocol to users

[SCENARIO] A software developer creates a DEX. He retains 68% of governance tokens and holds the only admin key that can pause the contract. He does not collect fees directly. **Q: Is he a VASP under FATF guidance?** **[TRAP]** He doesn't collect fees - but that's irrelevant. **[CORRECT]** Correct Answer: **YES**. He has control via tokens and admin key. He must register and implement AML/CFT controls.

Nested Correspondent Accounts - The Complete Risk

Definition

A "nested" account is when a respondent bank allows **its own downstream correspondent banks or third-party clients** to route transactions through the respondent's account at the correspondent bank, **WITHOUT** the correspondent's knowledge or consent.

Risk	Why It Matters
Loss of visibility	Correspondent cannot see true originator/beneficiary
Sanctions evasion	Downstream party may be sanctioned entity
PEP exposure	Downstream party may be PEP with no EDD
TBML	Nested structure perfect for trade-based layering
Regulatory violation	Correspondent's CDD is effectively useless

[!] If a correspondent discovers undisclosed nesting, it must file a SAR, send an RFI, and consider termination. The respondent bank may be violating its own AML program.

The "Most Correct" Answer - CAMS Question Structure

Why This is the 1 Complaint

Many CAMS questions present **two or three factually correct answers**. You must select the **BEST** or **MOST** correct based on FATF standards, not just what makes sense from experience.

[SCENARIO] A bank identifies a foreign PEP customer with unexplained wealth. The bank has already performed EDD but cannot verify the source of wealth. The relationship manager wants to close the account. **Q: What is the bank's MOST appropriate action?**

- A) Close the account immediately
- B) File a SAR and close the account
- C) File a SAR, continue monitoring, and seek senior management approval to maintain or exit
- D) Ignore the issue since EDD was already performed

[TRAP] Both B and C are partially correct (SAR filing is required). But immediate closure without approval may violate tipping-off.

[CORRECT] Correct Answer: C. Under FATF standards, exit should be risk-based and coordinated. Senior management must approve. SAR is mandatory regardless. **[FOCUS]** Read for words like "most," "primary," "best," "first." These signal a "most correct" question.

Wolfsberg Group, Basel, Egmont - Specific Functions

Not Just "What They Are" - Specific Exam Angles

Test-takers report questions on **specific secondary functions** of these bodies, not just primary missions.

Body	Exam-Tested Detail
Wolfsberg Group	NOT a regulator. Association of 13 global banks. Produces correspondent banking due diligence questionnaires (CDDQs) and AML principles for private banking.
Basel Committee	Sets banking supervision standards (Basel III). Its CDD paper (1998) was foundational for KYC. Tests on history, not just capital rules.
Egmont Group	Network of FIUs. Facilitates secure information exchange between FIUs. NOT an investigative body. Exam tests: Egmont does NOT investigate; domestic FIUs do.

[!] QUESTION: "Which body produces the standard correspondent banking due diligence questionnaire?" → Wolfsberg Group.

Definition

Dual-use goods are items that have legitimate civilian applications but can also be used in weapons of mass destruction (WMD) programs.

Exam Red Flags:

- Sale of dual-use goods to sanctioned countries (North Korea, Iran)
- Transactions involving UNSC Resolution 1540 (non-proliferation)
- Customer is a trading company with no apparent use for precision bearings, specialized valves, or aerospace-grade aluminum
- Shipping routing through intermediary countries known for transshipment

[SCENARIO] A small trading company orders \$2M in precision ball bearings rated for 10,000+ RPM. The buyer has never ordered industrial goods before. The destination is a front company in a country under UNSC sanctions for WMD programs. **Q: This is most indicative of?** **[CORRECT]** Correct Answer: Proliferation financing. The bank should file a SAR and block the transaction if sanctions apply.

Summary: Top 10 Missed Hard Questions Concepts

- 1 **FATF IOs** (IO.1-IO.11): Know scenarios that map to each IO (especially IO.5, IO.6, IO.2)
- 2 **Life Insurance ML**: Policy loan = layering. CDD applies at \$10k premium or upon beneficiary designation
- 3 **Patriot Act Sections**: 311, 312, 313, 314(a), 314(b), 319(b), 326
- 4 **DeFi VASP Status**: $\geq 50\%$ governance tokens OR admin key = likely VASP
- 5 **Nested Correspondent**: Undisclosed nesting = SAR + RFI + potential termination
- 6 **"Most Correct" Questions**: Two correct answers; choose the one most aligned with FATF standards
- 7 **Wolfsberg Group**: Produces correspondent banking CDD questionnaires (not a regulator)
- 8 **Egmont Group**: Information exchange between FIUs; does NOT investigate
- 9 **Proliferation Financing**: Dual-use goods to sanctioned entities
- 10 **De-risking vs. Risk-Based Approach**: Blanket termination is NOT preferred; targeted exit is.

[Right] These concepts are consistently reported as "surprise" questions on recent CAMS exams. Master them to move from passing to confident.

- **Time pressure is real:** 120 questions, 3.5 hours. Many questions require selecting 2-3 answers. Flag and move on.
- **Version 6 vs. Version 7:** If taking V7, expect MORE on FATF IOs, less on pure memorization of recommendation numbers.
- **Practice exams are EASIER than real exam:** Do not be overconfident from 90% on ACAMS mock.
- **Discord/ExamTopics:** Helpful but some answers are wrong. Verify against the study guide.
- **Read the GLOSSARY:** Test-takers report the glossary saved them on obscure term questions.
- **Insurance and Patriot Act:** Two areas that surprise experienced AML professionals.
- **You can pass with 2-3 months of study while working full time.**

[Right] Good luck - you've covered the hard parts now!